HOW TO MANAGE YOUR TRADING DURING A *Bear Market*

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INTRODUCTION

If you're a long-time investor or trader, it is very likely that you have already experienced the frustration of trading during a bear market. If you're new to trading, there is no doubt you will find yourself face-to-face with a bear market at some point.

Many traders fear bear markets, and for good reason. They can sap your energy, destroy your confidence and leave you feeling a mix of despair and anguish.

Well, I'm here to tell you there is no reason to fear a bear market. In fact, after reading this eBook, you might not only accept a bear market, but even *embrace* it.

Surviving and thriving in a bear market

Surviving a bear market is critical, because you must be prepared for what comes next: a bull market. But you must also survive the present, because bear market trends are vicious and will knock you down hard if you're not ready.

Remember December 2018? Everyone struggled – even those who were prepared, had already traded a bear market and were experienced bear traders! If you weren't ready, forget it. Your portfolio took a beating.

Now, you might be thinking, "But I don't want my portfolio to collapse! I want to make money when the market goes down, not just up. How do I do that?"

It's a great question, and it's probably why you're reading this eBook. Rest assured, I will teach you how to do this.

Don't forget that bear markets are short

Before we discuss bear market trading strategies in detail, it's important to remember that bear markets are very short in relation to bull markets.

Bull market trends last for months or years. Bear market trends typically last no more than 18 months. However, bear market action is very fast and painful, because everyone tries to get out of the door at once. If a bull market is like taking an escalator up, a bear market is like falling out of a window.

Keep in mind that the long-term trend of the stock market is UP. If you're long stocks, you don't worry about bear markets. In fact, if you looked at a decades-long chart of the S&P 500 Index, bear markets would appear as blips on the radar.

Bear markets require a survival kit

Most traders lose money during a bear market. Bear traders enjoy trading the downside, but they get faked out believing the downtrend is over before it actually is. Bulls, meanwhile, keep trying to ride any upward movement towards a profit, but they eventually capitulate and sell at the wrong time.

I don't want this to happen to you. I want you to learn how to successfully trade – not fear – a bear market.

Everything in this book is based on my experience trading a bear market. I struggled and learned the hard way so you don't have to.

The biggest lesson I learned is how unforgiving a bear market is. You can lose money in a bull or bear market, of course. But if you don't pay attention or lose discipline in a bear market, it is very tough to make up lost ground.

In the first section of the eBook, I'll share my top tips for trading a bear market. In the second section, I'll teach you some specific strategies that work well in bear market. And in the third section, I'll discuss common pitfalls and how to avoid them.

SECTION 1:
13 TIPS FOR TRADING IN A BEAR MARKET

A bear market is difficult to manage because the markets move sharply and quickly. With the right approach and mindset, you can come out it in one piece.

Play it small

Do not go big in a bear market. Volatility is likely higher than normal and on the rise, which makes trading riskier. However, it also means prices make larger than normal movements, potentially allowing you to make handsome profits on trades.

Use this to your advantage. Keep your trades small to limit your risk but still allow you to reap ample rewards.

If you're ever tempted to go big, remember: No one wins by losing it all!

Take it slow

Investing is a slow process whether you are playing the upside or downside. Take your time when trading in a bear market. Step back, wait for trends to develop and *then* climb on board.

For example, in December 2018, the markets hit extreme oversold conditions. That was a good time to dip your toe in and try a contrarian play. When the trend turned upward after December 24, you could buy more.

Don't stay in a trade too long

Timeframes for bull and bear markets are polar opposite. During a bull market, prices seem to go up and up and up. They might pull back, but then they resume the trend. Staying with a trade for a long time usually pays off.

Not in a bear market! Keep your timeframes short (a few days to a week), and be prepared to cut out early. Market trends move very fast in a bear market.

Trust the indicators

Some believe that a bear market is governed by fear, thus rendering the indicators useless. That is nonsense!

The indicators will guide you to wins and save you from big losses every time. The top indicators to watch are:

- Price
- Volume
- Option flow
- MACD
- VIX
- Put/call ratio

Be objective

It is always important to remove your emotions (especially fear and greed) from the equation, but even more so during a bear trend. Just go with what you see on the chart, and do your best to remove all bias.

Be flexible

Trading a bear market is no time to be rigid in your approach. Being flexible allows you to change course and continue to follow the lead of the markets.

React, don't anticipate

Trying to guess what's going to happen next is dangerous for your portfolio and an utter waste of time. You have no control over the markets, so your best bet is to react to market moves.

Ignore outside influences

Don't get hung up on what the business media are saying; they will likely steer you in the wrong direction. The technicals and indicators will always serve as better, more reliable guides.

Allow yourself to be wrong

It's okay to make a mistake. Don't beat yourself up about it! Take the loss and move along to the next trade. If you dwell on it, the bear market will chew you up and spit you out.

Read

You'll find yourself trading less during a bear market if you're intent on being successful. Use your spare time to read articles and books, study your past trades and fill your trading diary with new strategies and insights.

Ride the trend

Many fail in a bear market because they become uncomfortable staying with a down trend. If you're afraid the market will turn on you, it's understandable. Overcome that fear, and stick with it. You'll be rewarded.

Accept a bear market

See the market for what it is, not what you want it to be. If it's a bear market, then it's a bear market. The markets don't care what you think or what you want, so accept it and trade accordingly.

Get ready to buy

Conventional wisdom says that we're not in a full-on bear market until top-performing stocks are hit. That is often true, which is why you need to be ready to buy at a moment's notice. When a heavy-hitter like Apple falls, take advantage of the buying opportunity.

SECTION 2: WHAT STRATEGIES TO USE IN A BEAR MARKET

Buy puts to protect your portfolio

Many traders who lose in a bear market don't bother buying put protection. Insurance may seem like a waste of money, but you'll be glad you have it when you need it. Protect your portfolio during a bear market, or risk losing large sums of capital.

Play both sides of the market

One of the biggest advantages to trading a bear market is the nice gains to be had on the downside *and* the upside. In fact, some of the biggest and most spectacular rallies occur in bear markets.

To play both sides:

- Add put protection to dampen volatility (as I mentioned above)
- Use spreads in anticipation of larger moves to come
- Buy during extreme oversold conditions
- Short with puts during extreme overbought conditions

Accept small wins

Bear market action is very fast. Both upward and downward moves are prone to quick reversals. Got a modest gain? Take it and move to the next trade.

Hold lots of cash

I always advise people to keep cash available as dry powder. You never know when the next big trade might come along (yes, even regular traders can bank a big winner in a bear market!).

However, it's also a good defensive position when markets fall. You won't feel as panicked or desperate to find a winner (and desperation can lead to some big mistakes).

Try new strategies

I like to experiment with different strategies to see what works in certain situations. Using a small amount of capital to do so will not hurt your portfolio but could provide valuable lessons.

There are many different trade ideas to use in a bear market, which I cover in more detail below. Learn them and try them out. Some may include advanced option plays to minimize risk but allow for exposure.

It's not uncommon to have both puts and calls working simultaneously in a bear market. We often see the switch from a stock picker's market to a market that follows the indices. If you're willing to try new things, you can be a winner.

Use volatility to your advantage

Strangles and straddles are volatility bets that take advantage of outsized moves in the stock price.

A strangle is a bet on a big move (either up or down). The direction of the move is not a concern; you just want to see movement. Buying a strangle is a purchase of a call AND a put out of the money. A strangle does not cover all possible price moves.

A straddle is the purchase of a call and put, but it covers all price moves.

Though the cost difference is negligible, the strangle offers greater leverage due to the reduced cost. The straddle, on the other hand, could have more value than the strangle after the move is completed and implied volatility declines to more historical levels.

SECTION 3:
17 COMMON MISTAKES TO AVOID WHEN TRADING A BEAR MARKET

At the beginning of section 1, I said, "A bear market is difficult to manage because the markets move sharply and quickly." The breakneck speed can be nerve-wracking and lead you to make serious mistakes. Here are the most common ones I have seen – and how to avoid them.

Timing the markets

It's impossible to consistently time the markets. In fact, it's a futile exercise. Don't try to guess; just follow the lead of the charts and technicals.

Ignoring the "gaps"

Volatility is elevated in a bear market, which means ranges are wider and gap moves (higher and lower on the close) are more common. Gap moves tend to set the tone, so pay attention. If a gap trends short-term, do not take advantage of it.

Making predictions

This is a fundamental "no-no" for investors and traders. We are not in the prediction business, we are in the following business.

Trading on hope

Hope is a strategy for failure. Do your homework, follow the technicals, analyze the charts and market action, and *then* place a trade.

If you are really feeling unsure, join a chat room or supportive community of traders. You will learn as you go, gain confidence and make sound trades.

Trusting false bottoms

Bear markets have many false bottoms. Back in 2008, many traders anticipated capitulation lows just after the November election. They were wrong. The markets fell another 30% before finally hitting rock bottom.

Running when volume levels rise

Bear markets are notorious for fast selling; fear does that to people. Investors panic and say, "Get rid of my stocks! I'm not going to be left holding the bag!"

When everyone runs out of the door at the same time, volume levels surge. This is often a good buying opportunity.

Not trusting the indicators

Technical indicators are truth-tellers. They are not biased. They will tell you exactly what is happening. Trust them. It's the only way to know when to buy or sell.

Fighting the trend

Traders get tripped up in a bear market by not accepting the trend. The markets don't care if you don't like it – a trend is a trend.

When you see a series of lower highs and lower lows on a chart, you're looking at the textbook definition of a downtrend. That is the condition until the charts say otherwise.

Doubling down on a losing position

In a bear market, second chances are few and far between. If you're in a trade that starts heading south, it is likely not your next big opportunity. Don't throw good money after bad. Cut your losses and move on to the next trade.

Listening to the "experts" who say "Buy, buy, buy!"

Unless your own analysis backs up what the pundits are saying, their calls to "buy" are a trap.

Do your homework. Are you in agreement with them? Probably not. So … ignore them. They probably know *less* than you even though they are on TV.

Going all in

Never go all-in on a trade. I don't care what the market conditions are or what your best friend is doing. Control your emotions during a bear market. There is no substitute for discipline.

Getting cocky

Hubris has led to the downfall of more than one trader. Respect the markets and the current trend, and you will never put yourself in a dangerous position.

Giving the market the benefit of the doubt

You have plenty of space to make mistakes and recover during a bull market. You don't have that luxury during a bear market. Don't trust the market's every move until a new trend is confirmed.

Not playing it both ways

During a bull market, you have very few opportunities to play both the upside and downside of a trade. In a bear market, this is a great trading strategy. Take advantage of it.

Being stubborn

It's natural to become more risk averse during a bear market. I challenge you to keep an open mind and remain flexible. Remember that you can still make money, so try a new idea or strategy.

Convincing yourself that you are right

There is no right or wrong in trading, but there are good and bad trades. Don't focus on being right. Focus on placing good trades – and making money.

Hiding out in "safe havens"

As I mentioned earlier, we are not fully in a bear market until all names have been hit hard. Do not attempt to park your money in a "safe bet". There's no such thing in a bear market.

SECTION 4: CONCLUSION

Bear markets are a part of life. Our success or failure depends on how we respond and react to the conditions in front of us.

While most traders would love to step away from a bear market, it's not feasible. You would have to time the market in order to completely avoid one. And yes, avoidance is an option – but then, you have to figure out when to get back in. Again, this involves timing the market and that is a risky bet to make.

Like I said in the introduction, you CAN make money during a bear market. In this ebook, I shared the very same tools that have helped me succeed in some nasty bear markets. Investing and trading successfully is a marathon, not a sprint.

I hope you follow some of the advice and rules, as you will undoubtedly encounter many more bear markets during your investing life.

ABOUT EXPLOSIVE OPTIONS

Explosive Options is an options trading service.

Founded in 2011 by Bob Lang, the industry's leading technical expert, we provide proprietary options trading knowledge to people who are committed long-term to trading. Our members join because they want to learn more about options trading and grow their portfolio, but they don't have the time or knowledge to do it full-time.

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